Intel Three-Statement Model: Memo

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Thesis

In my base case, Intel moves from a $267M loss attributable to Intel in FY2025 to $12.7B of net income by FY2030E, as revenue grows from $52.9B to $88.8B and operating margin recovers from -4.2% to 16.9%. Debt / EBITDA falls from 3.0x in FY2026E to 1.4x in FY2030E, and Intel holds more cash than debt from FY2027E.

Free cash flow turns positive in FY2026E ($4.4B) after about $4.9B of cash burn in FY2025 (operating cash flow of $9.7B against $14.6B of capex). FY2025 figures come from Intel's 10-K and the first half of FY2026 from its 10-Qs. Q3 and Q4 2026 are my estimates, made before Intel reports Q3 on October 29, 2026. FY2027E to FY2030E are my own estimates, not company guidance.

Key assumptions

Revenue is built from four segments, and then four drivers carry the rest of the forecast: total revenue growth (the result of the segment build), gross margin, operating costs and capex.

Driver	FY2026E	FY2030E	Reasoning
Revenue growth (total)	18.8%	6.7%	The result of the segment build below. FY2026E uses reported Q1 and Q2 2026 and my Q3 and Q4 estimates. Q2 2026 revenue was $16.1B (+25% YoY) and Q3 guidance is $15.8B to $16.8B. Growth fades each year after that.
Gross margin	40.4%	42%	FY2025 was 34.8%. FY2026E reflects first-half 2026 results plus my Q3 and Q4 estimates, then rises to 42% and holds.
R&D, % of revenue	21.7%	18%	Spending grows more slowly than revenue.
MG&A, % of revenue	7.2%	6.5%	Same operating-leverage logic.
Capex, % of revenue	20%	15%	FY2026E matches Intel's first-half 2026 pace, then falls as the build-out matures.

Segments: Client Computing (CCG) grows 7% in FY2026E, then 3% to 5% a year. Data Center and AI (DCAI) grows 44% in FY2026E (first-half 2026 was up about 40%), then 20% fading to 8%, and reaches $39.9B by FY2030E, about level with CCG at $40.1B. Intel Foundry external revenue (reported Foundry revenue is mostly sales to other Intel segments, which are eliminated) grows from $0.3B to $5.8B. All Other, which includes Mobileye, stays near $2.7B to $3.1B.

Other inputs: restructuring charges of $4.5B in FY2026E falling to $0.5B, a 21% tax rate, depreciation at 11% of beginning PP&E, and working capital of 28 days receivable, 121 days inventory and 112 days payable. Debt is repaid on Intel's scheduled maturities, taken bond by bond from Note 13 of the FY2025 10-K (42 bonds, $47.2B of principal, a weighted effective rate of 4.59%), with 50% of each year's maturities refinanced. Interest income is 3.75% of beginning cash and short-term investments, and interest expense is 2.5% of average debt, net of capitalized interest. As a check, Intel's FY2025 net interest of $1.09B was 2.26% of average debt, so 2.5% is slightly conservative. Items with no clear driver are held flat.

Scenario results

In all three cases FY2026E is profitable and free cash flow is positive from FY2026E, but FY2030E net income ranges from $8.3B to $16.8B.

FY2030E, $M unless noted	Downside	Base	Upside
Revenue	71,072	88,829	98,586
Net income attributable to Intel	8,312	12,702	16,759
FY2026E net income attributable to Intel	335	2,071	3,741
Ending cash	42,387	53,870	71,438
Debt / EBITDA (x)	1.74	1.40	1.21
Cumulative free cash flow, FY2026E to FY2030E	35,444	46,927	64,495
Payback year (cumulative free cash flow turns positive)	FY2026E	FY2026E	FY2026E

The cases differ only in revenue growth, gross margin and capex. Upside adds 3 points to Base revenue growth in FY2026E (2 points by FY2030E), lifts gross margin by 3 points (to 45% in FY2030E) and lowers capex to 18% of revenue, falling to 12%. Downside subtracts 7 points of growth in FY2026E (3 points by FY2030E), cuts gross margin by 3 points (to 39%) and raises capex to 23% of revenue, falling to 17%. Downside is only barely profitable in FY2026E ($0.3B).

Main risk

Gross margin and revenue growth are the biggest risks to earnings, and gross margin and capex are the biggest risks to cash. I tested each by moving one driver at a time from Base to its Downside values and leaving the other two unchanged.

Driver moved to Downside	FY2030E net income, $M	Change vs. Base	Cumulative free cash flow, $M	Change vs. Base
None (Base)	12,702	n/a	46,927	n/a
Gross margin only	10,380	-18%	37,279	-21%
Revenue growth only	10,335	-19%	49,800	+6%

Driver moved to Downside	FY2030E net income, $M	Change vs. Base	Cumulative free cash flow, $M	Change vs. Base
Capex only	12,531	-1%	39,816	-15%

Slower growth raises cumulative free cash flow because capex scales with revenue, so the company spends less when it grows less. Capex barely changes net income (-1%) because depreciation sits inside the gross margin assumption; the small effect comes only from lower interest income on the cash that capex uses. That is a simplification, listed below.

Credit profile and sensitivity

Leverage falls quickly in the Base case because debt is repaid on schedule while earnings recover. Intel holds more cash than debt from FY2027E.

Base case	FY2026E	FY2028E	FY2030E
Debt / EBITDA (x)	3.0	1.8	1.4
Net debt / EBITDA (x)	0.3	-0.5	-1.4
Interest coverage, EBITDA / interest expense (x)	13.2	21.8	28.0
Free cash flow / debt	10%	22%	37%

In the Downside case Debt / EBITDA peaks at 3.5x in FY2026E and is still 1.7x in FY2030E, with interest coverage never below 11.3x.

Two sensitivity tables in the model move revenue growth and gross margin by up to 2 points in either direction. One point of gross margin changes FY2030E net income by about $0.8B, against about $0.5B for one point of revenue growth. For FY2027E Debt / EBITDA the gap is wider: about 0.07x per point of margin and about 0.02x per point of growth. Margins matter more than growth for both earnings and credit, but the Downside growth gap (up to 7 points) is large enough to cost as much net income as the 3-point margin gap.

Valuation

I value Intel two ways: a discounted cash flow (DCF) on the Base case, and trading multiples from six peers. Both land well below the current share price of $91.69, except one comps method.

Method	Value per share	vs. $91.69
DCF, 15.3% discount rate, 3.0% terminal growth	$10.78	-88%
DCF, 9.3% discount rate (low case)	$25.23	-72%
Comps: peer median EV / EBITDA (27.1x)	$49.68	-46%
Comps: peer median EV / Revenue (15.6x)	$163.35	+78%

The DCF discounts unlevered free cash flow for FY2026E to FY2030E plus a terminal value. The discount rate of 15.3% comes from a 5.13% risk-free rate, a 5.0% equity risk premium, a beta of 2.23 and a 7.0%

pre-tax cost of debt, weighted by market value. Terminal value is about 70% of enterprise value, and stock-based compensation is treated as a real cost. Across scenarios the DCF gives $7.08 (Downside), $10.78 (Base) and $16.76 (Upside).

The comps use trailing multiples for AMD, NVIDIA, Qualcomm, Broadcom, Texas Instruments and Micron from Yahoo Finance on October 21, 2026. P/E is not used for Intel because its trailing earnings are negative.

The gap is the main finding. Intel trades at about 49x trailing EBITDA against a peer median of 27x, and my Base case does not come close to supporting the current price. The market is pricing in much faster growth or margin recovery than I assume, and the EV / Revenue method (which ignores Intel's thin margins) gives a very different answer from the profit-based methods. The DCF is also highly sensitive to the discount rate: moving it from 15.3% to 9.3% more than doubles the value, and the high beta is the main reason the rate is so high.

Limits and next steps

This is a base-level model built only from public data (10-K and 10-Q filings and earnings releases), so it has clear limits:

- Debt follows the scheduled maturities with a fixed 50% refinance assumption, and I assume no dividends or buybacks. Cash therefore builds to $53.9B by FY2030E, more than Intel would likely hold.
- Interest uses two blended rates (3.75% on cash, 2.5% on average debt net of capitalized interest) instead of the coupon on each bond. Gross interest on FY2026E debt would be about $2.1B against $1.1B in the model; the difference assumes capitalized interest (about $1.2B in FY2025) continues.
- Depreciation is inside the gross margin assumption, so capex affects cash but not earnings.
- Payback is simple: it ignores the time value of money, which a DCF would handle.
- Revenue is built by segment, but with one company-wide gross margin, and only FY2026E has quarterly detail (reported Q1 and Q2, estimated Q3 and Q4). The rest of the forecast is annual.
- Tax is a flat 21%, and FY2027E to FY2030E are my own estimates. The 16.9% FY2030E operating margin in particular is a bullish judgment that I have to defend, not a reported figure.
- Intel's first-half 2026 results include about $13.4B of non-cash losses (Escrowed Shares and other non-operating items) that I keep out of the annual cash model. Quarterly net income sums to -$11.6B for FY2026E, against $2.1B in the annual model; the Quarterly sheet reconciles the difference.
- Q3 2026 (revenue $16.3B, operating income $1.9B, net income $1.5B) is an estimate made before Intel reports on October 29, 2026, so FY2026E will change once actuals are in.

Next step: compare my Q3 2026 estimate with Intel's actual results on October 29, 2026, and save an updated version of the model.